

Japan Semiconductors

Tokyo Electron Ltd

Rating

Outperform

Price Target

 **8035.JP**

79,300 JPY (59,200 OLD)



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TEL 1Q27/3: Margin upside materializing sooner; Lifting PT to ¥79,300

For our updated TEL model please click here: [TEL model](#).

In-line Q1. Revenue of ¥732.4bn (+2.9% QoQ) came below consensus as we previewed. Although, GPM at 46.8% and OPM at 28.9% were above consensus. OP came in at ¥211.4bn (+2.8% QoQ), in-line with consensus. By application, logic / foundry was a 10% miss; DRAM was 9% below, NAND was in-line. **Raised Q2 guidance beat**, with both topline 8% above and OP 6% above consensus.

CY27 WFE raised to \$190bn. TEL provided an improved market outlook of \$190bn (\$170bn prior) for 2027 WFE, citing AI as the major growth driver but this time with an additional mention of conventional DRAM and CPUs. TEL continues to see \$150bn for CY26. **By application**, company expects YoY growth of 15% for logic / foundry, >30% for DRAM, and 40% for NAND in CY26, and ~20% overall.

TEL expects to outperform the market — 1H sales is guided to be 37% YoY, and 2H is “expected to outgrow 1H significantly” — implying annual growth of above 37%. TEL continues to expect >50% growth from coater & developers, as well as etchers — for which they expect up to ¥1tn annual revenue — and advanced packaging, led by probers, to drive the outperformance. **On capacity**, CEO highlighted their robust supply chain management as well as their strong relationship with customers who can provide enough visibility for TEL to prepare well in advance, as their strength.

50%+ margins next year. Management confirmed that margin uplift from price hike will start to kick in from Q4, and that they will be able to target 50%+ GPM early next FY, ahead of investor expectations of FY29/3. There is further upside beyond 50%+ GM and 35%+ OPM. In terms of OP, the CEO said they will be able to target near ¥1tn this FY.

Outperform. Reflecting Q1 earnings and an improved outlook on next year's growth as well as margins, we lift our FY27/28 top line by 6% / 20% respectively, and bottom line by 12% / 43%. Lowering our valuation multiple to 28x (32x prior) P/E and rolling over a quarter, we raise our PT to **¥79,300**, representing **52%** implied upside. **Reiterate Outperform.**

Investment Implications

We rate Tokyo Electron Outperform (PT ¥79,300).

Reported EPS	F26A	F26E	F27E
8035.JP (JPY)	1,250.88	1,687.17	2,635.81
OLD	--	1,504.14	1,848.77

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	2,444*	3,411*	4,436*	--

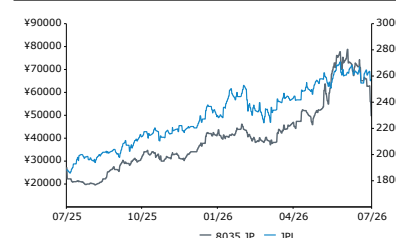
Valuation Metrics	F25A	F26E	F27E
Reported P/E (x)	41.8	31.0	19.8

*Values shown in billions; Source: Bloomberg, Bernstein estimates and analysis.

Close Date	30 Jul 2026			
8035.JP Close Price (JPY)	52,240			
Price Target (JPY)	79,300			
Upside/(Downside)	52%			
52-Week Range	81,260/19,870			
JPL	2,570.52			
FYE	Mar			
Div Yield	1.4%			
Market Cap (JPY) (B)	24,450.03			
EV (JPY) (B)	23,982.12			
Performance	YTD	1M	6M	12M
Absolute (%)	52.2	(32.3)	26.5	91.6
JPL (%)	16.5	(1.9)	11.5	37.4
Relative (%)	35.7	(30.4)	14.9	54.2

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

EXHIBIT 1: TEL Q1: Results Summary

<u>TEL Q1 FY27/3 results</u>		Actual	Delta		Growth YoY	
		Q1 FY27/3	vs. Bernstein	vs. Cons.	Actual	Cons.
Revenue	Actual	732.4	-4.2%	-3.0%	33.3%	37.4%
	Bernstein	764.8				
	Consensus	755.3				
Gross profit	Actual	342.7	-0.4%	-1.9%	34.9%	37.6%
	Bernstein	344.2				
	Consensus	349.5				
Gross margin	Actual	46.8%	1.8%	0.5%	0.6%	0.1%
	Bernstein	45.0%				
	Consensus	46.3%				
Operating profit	Actual	211.4	3.5%	0.0%	46.1%	46.1%
	Bernstein	204.2				
	Consensus	211.4				
Operating margin	Actual	28.9%	2.2%	0.9%	2.5%	1.7%
	Bernstein	26.7%				
	Consensus	28.0%				
Net profit	Actual	164.3	2.9%	4.3%	39.5%	33.8%
	Bernstein	159.7				
	Consensus	157.6				
Earnings per share	Actual	360.15	3.3%	5.1%	40.4%	33.7%
	Bernstein	348.56				
	Consensus	342.81				

Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 2: TEL Q1: Results Breakdown

<u>Results Breakdown</u>	Actual	Growth	Bernstein	Delta	Consensus	Delta
	Q1 FY27/3	YoY	Q1 FY27/3		Q1 FY27/3	
SPE	732.4	33.3%	764.8	-4.2%	767.0	-4.5%
Logic and foundry	302.8	19.8%	332.1	-8.8%	336.9	-10.1%
DRAM	170.0	65.5%	189.1	-10.1%	187.5	-9.3%
NAND	58.4	48.0%	57.0	2.5%	58.6	-0.2%
Field Solution	188.0	33.1%	177.5	5.9%	174.2	7.9%

Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 3: TEL Q1: Summary of implied Q2 guidance

<u>Guidance Breakdown</u>	Guidance	Prev. Guidance	Delta	Bernstein	Delta	Consensus	Delta
	2Q FY27/3E	2Q FY27/3E		2Q FY27/3E		2Q FY27/3E	
Revenue	887.6	837.6	6.0%	824.8	7.6%	824.7	7.6%
Gross Profit	405.3	372.3	8.9%	379.4	6.8%	383.7	5.6%
Operating profit	246.6	219.6	12.3%	234.2	5.3%	232.7	6.0%
Net Income	184.7	163.7	12.8%	182.3	1.3%	179.0	3.1%
New Equipments	708.7	668.7	6.0%	622.1	13.9%	617.6	14.8%
Logic / Foundry	404.0	381.2	6.0%	352.0	14.8%	353.2	14.4%
DRAM	226.8	214.0	6.0%	194.8	16.4%	193.0	17.5%
NAND	78.0	73.6	6.0%	75.3	3.5%	70.3	10.9%

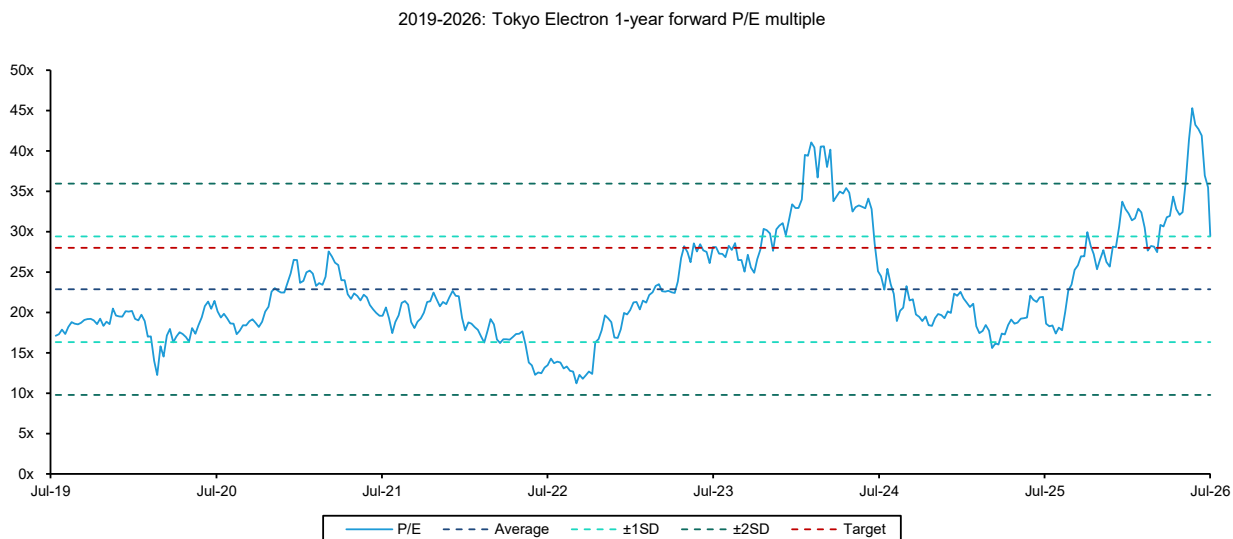
Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 4: TEL Q1: Summary of estimate changes

TEL: change in estimates	FY26/3	1Q27	2Q27E	3Q27E	4Q27E	FY27/3E	FY28/3E	FY29/3E
Revenue (JPY bn)								
Bernstein - Old	2,443.5	764.8	824.8	738.1	890.0	3,217.6	3,704.7	4,042.7
Growth YoY	0.5%	39.2%	30.9%	33.7%	25.0%	31.7%	15.1%	9.1%
Bernstein - New	2,443.5	732.4	887.6	814.8	976.0	3,410.8	4,435.9	5,491.6
Growth YoY	0.5%	33.3%	40.9%	47.6%	37.1%	39.6%	30.1%	23.8%
Consensus			824.7	817.8	881.0	3,261.8	4,008.5	4,594.7
Growth YoY			30.9%	48.1%	23.8%	33.5%	22.9%	14.6%
New vs. old			7.6%	10.4%	9.7%	6.0%	19.7%	35.8%
Bernstein vs. consensus			7.6%	-0.4%	10.8%	4.6%	10.7%	19.5%
Operating profit (JPY bn)								
Bernstein - Old	624.9	204.2	234.2	195.6	250.1	884.1	1,081.8	1,200.7
Growth YoY	-10.4%	41.1%	47.8%	68.4%	21.6%	41.5%	22.4%	11.0%
Margin	25.6%	26.7%	28.4%	26.5%	28.1%	27.5%	29.2%	29.7%
Bernstein - New	624.9	211.4	252.1	232.2	288.9	984.6	1,530.4	1,977.0
Growth YoY	-10.4%	46.1%	59.1%	99.9%	40.5%	57.6%	55.4%	29.2%
Margin	25.6%	28.9%	28.4%	28.5%	29.6%	28.9%	34.5%	36.0%
Consensus			232.7	238.6	270.0	948.5	1,272.4	1,549.2
Growth YoY			46.9%	105.5%	31.3%	51.8%	34.1%	21.8%
Margin			28.2%	29.2%	30.7%	29.1%	31.7%	33.7%
New vs. old			7.6%	18.7%	15.5%	11.4%	41.5%	64.7%
Bernstein vs. consensus			8.3%	-2.7%	7.0%	3.8%	20.3%	27.6%
EPS (JPY)								
Bernstein - Old	1,250.9	348.6	397.9	332.7	424.9	1,504.1	1,848.8	2,064.7
Growth YoY	6.1%	-24.1%	-13.5%	-27.7%	-7.3%	20.2%	22.9%	11.7%
Bernstein - New	1,250.9	360.2	432.8	398.6	495.6	1,687.2	2,635.8	3,424.7
Growth YoY	6.1%	40.4%	60.8%	54.7%	6.0%	34.9%	56.2%	29.9%
Consensus			390.8	387.8	483.6	1,600.4	2,126.1	2,623.9
Growth YoY			45.2%	50.5%	3.4%	27.9%	32.8%	23.4%
New vs. old			8.7%	19.8%	16.6%	12.2%	42.6%	65.9%
Bernstein vs. consensus			10.7%	2.8%	2.5%	5.4%	24.0%	30.5%

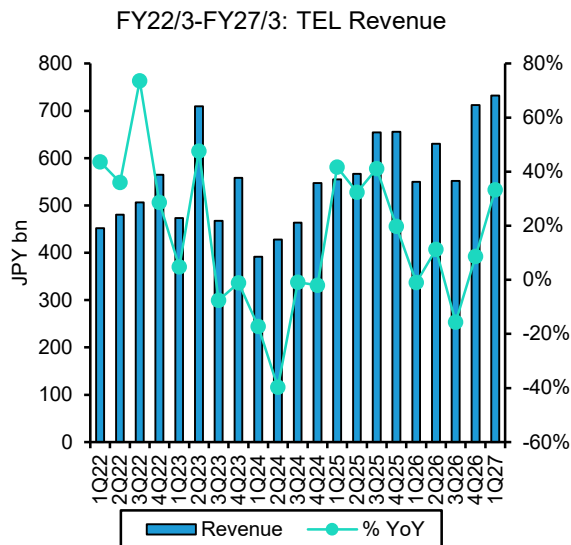
Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 5: Tokyo Electron: historical 1-year forward P/E multiple

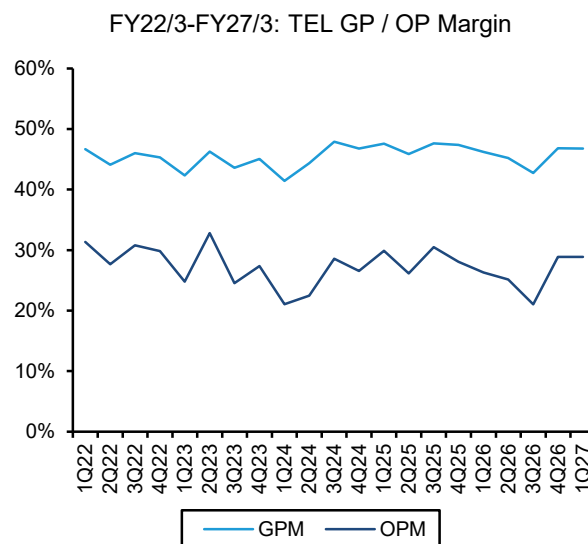


Source: Bloomberg, Bernstein analysis.

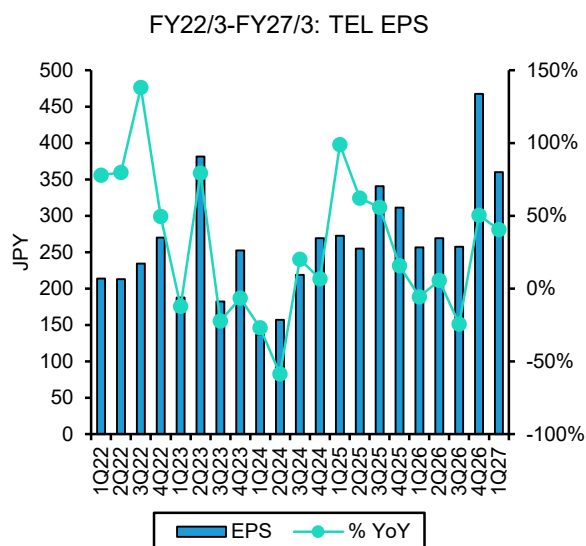
Q1 FY27/3 EARNINGS SUMMARY IN CHARTS

EXHIBIT 6: **TEL Q1 revenue was ¥732.4bn, +33% yoy.**

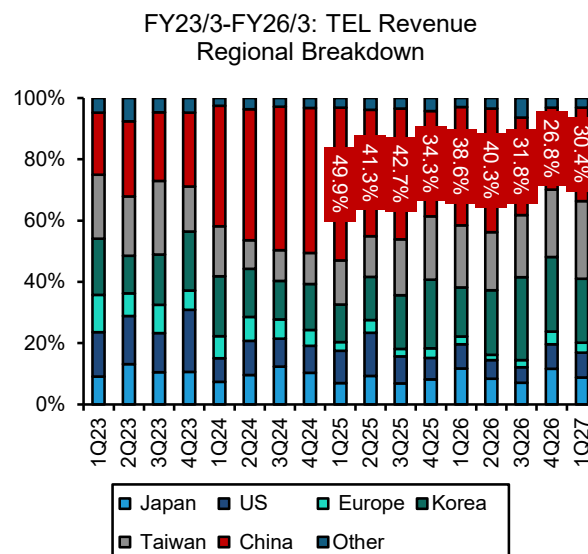
Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 7: **TEL Q1 GPM / OPM was 46.8% / 28.9% respectively, sequentially flat.**

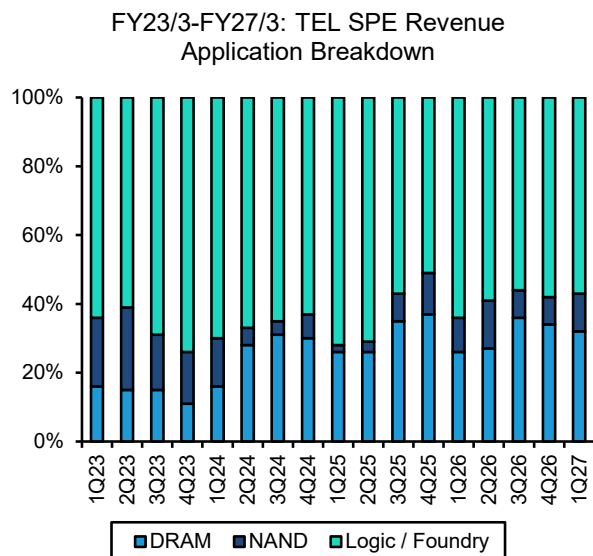
Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 8: **TEL Q1 EPS was ¥360.15, +40.4% yoy.**

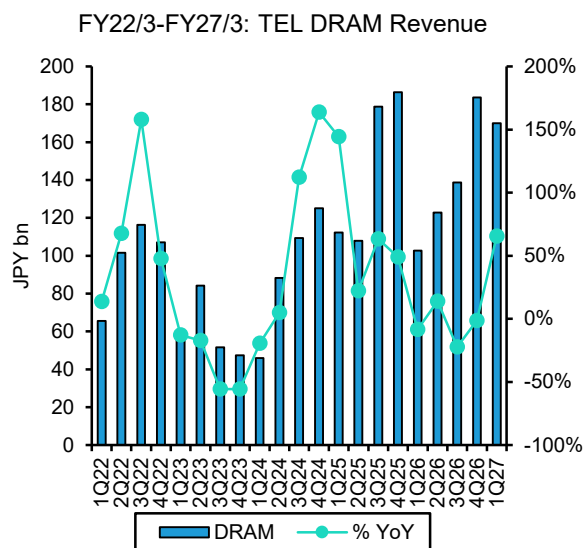
Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 9: **TEL Q1 China sales contribution was 30.4%, +3% QoQ from 26.8% in Q4**

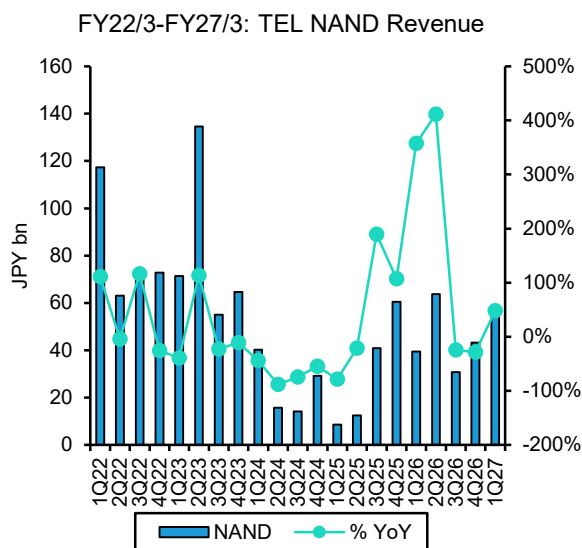
Source: Company disclosures, Bernstein analysis.

EXHIBIT 10: Q1 Logic/Foundry contribution was 57%, up from 58% in Q4.

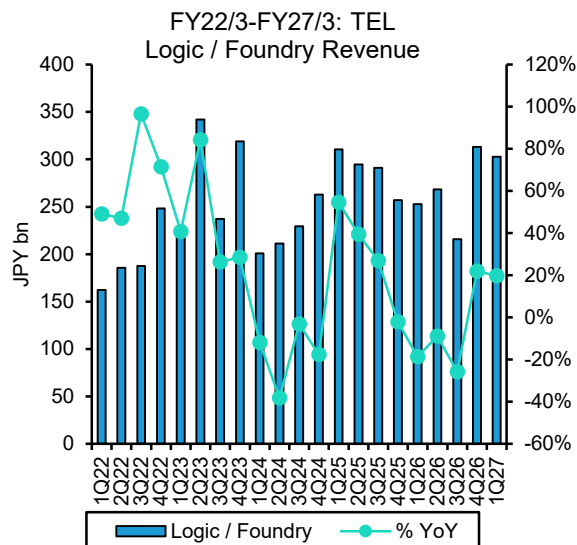
Source: Company disclosures, Bernstein analysis.

EXHIBIT 11: TEL Q1 DRAM sales was ¥170.0bn, +65.5% yoy.

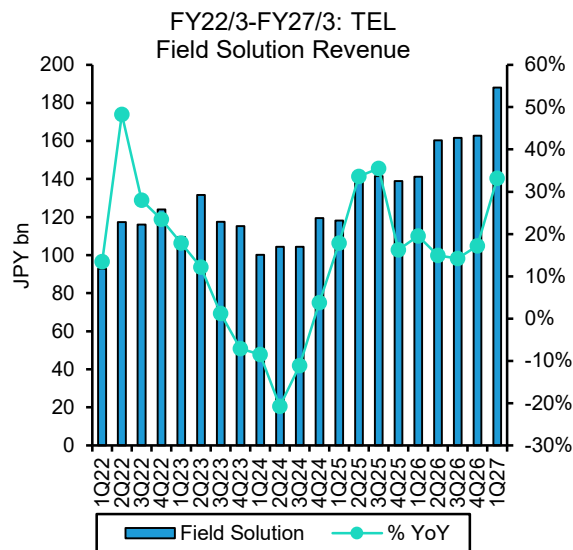
Source: Company disclosures, Bernstein analysis.

EXHIBIT 12: TEL Q1 NAND sales was ¥58.4bn, +48.0% yoy.

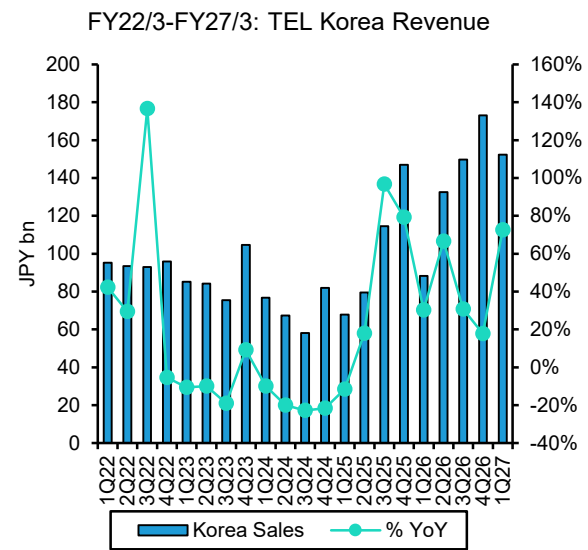
Source: Company disclosures, Bernstein analysis.

EXHIBIT 13: TEL Q1 Logic / Foundry sales was ¥302.8bn, +19.8% yoy.

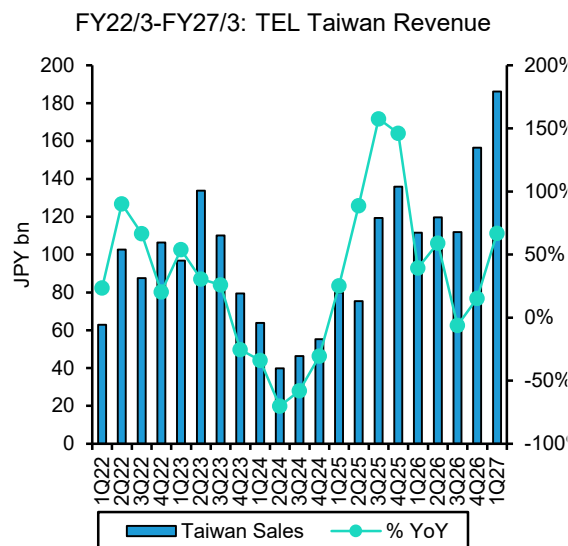
Source: Company disclosures, Bernstein analysis.

EXHIBIT 14: **TEL Q1 Field solution sales was ¥188.0bn, +33.1% yoy.**

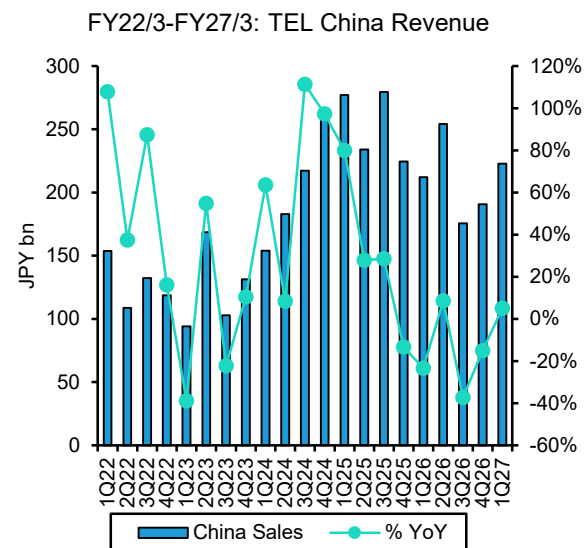
Source: Company disclosures, Bernstein analysis.

EXHIBIT 15: **TEL Q1 sales to Korea was ¥152.4bn, +73% yoy**

Source: Company disclosures, Bernstein analysis.

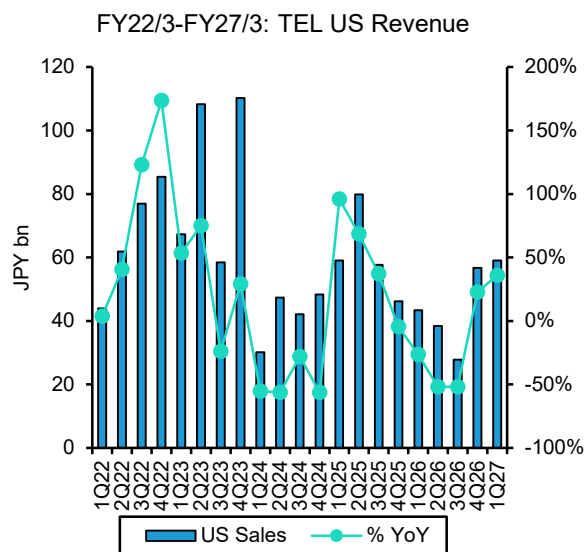
EXHIBIT 16: **TEL Q1 sales to Taiwan was ¥186.1bn, +66.9% yoy.**

Source: Company disclosures, Bernstein analysis.

EXHIBIT 17: **TEL Q1 sales to China was ¥222.9bn, +5% yoy.**

Source: Company disclosures, Bernstein analysis.

EXHIBIT 18: **TEL Q1 sales to the US was ¥59.0bn, +36% yoy.**



Source: Company disclosures, Bernstein analysis.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 19: Tokyo Electron: Income Statement

JPY bn	FY26/3	1Q27	2Q27E	3Q27E	4Q27E	FY27/3E	FY28/3E	FY29/3E
Revenue	2,443.5	732.4	887.6	814.8	976.0	3,410.8	4,435.9	5,491.6
Gross profit	1,107.9	342.7	408.3	382.9	468.5	1,602.5	2,240.1	2,800.7
SG&A	205.1	59.3	69.2	61.1	72.2	261.8	310.5	357.0
R&D	277.9	72.0	87.0	89.6	107.4	356.0	399.2	466.8
Other opex	482.9	131.3	156.2	150.7	179.6	617.9	709.7	823.7
Operating profit	624.9	211.4	252.1	232.2	288.9	984.6	1,530.4	1,977.0
D&A	81.0	22.5	28.4	26.1	31.2	108.2	133.1	164.7
EBITDA	705.9	233.9	280.5	258.3	320.1	1,092.8	1,663.4	2,141.7
Non-OP income / (expense)	123.2	4.1	4.4	4.1	4.9	17.5	22.2	27.5
Pretax Income	748.2	215.5	256.5	236.3	293.8	1,002.1	1,552.5	2,004.4
Income tax expense	173.7	51.2	60.3	55.5	69.0	236.0	364.8	471.0
Net income before minority interest	574.5	164.3	196.2	180.8	224.7	766.1	1,187.7	1,533.4
Net Income	574.5	164.3	196.2	180.8	224.7	766.1	1,187.7	1,533.4
Diluted EPS (JPY)	1,250.9	360.2	432.8	398.6	495.6	1,687.2	2,635.8	3,424.7
Margins								
Gross profit	45.3%	46.8%	46.0%	47.0%	48.0%	47.0%	50.5%	51.0%
Operating profit	25.6%	28.9%	28.4%	28.5%	29.6%	28.9%	34.5%	36.0%
EBITDA	28.9%	31.9%	31.6%	31.7%	32.8%	32.0%	37.5%	39.0%
Profit before tax	30.6%	29.4%	28.9%	29.0%	30.1%	29.4%	35.0%	36.5%
Net income	23.5%	22.4%	22.1%	22.2%	23.0%	22.5%	26.8%	27.9%
Growth YoY								
Revenue	0.5%	16.2%	60.8%	14.5%	-60.1%	39.6%	30.1%	23.8%
Gross profit	-3.4%	20.3%	73.1%	14.9%	-57.7%	44.6%	39.8%	25.0%
Operating profit	-10.4%	33.4%	117.0%	12.9%	-53.8%	57.6%	55.4%	29.2%
EBITDA	-7.1%	31.7%	104.3%	12.7%	-54.6%	54.8%	52.2%	28.8%
Profit before tax	6.0%	33.8%	67.3%	-16.2%	-60.7%	33.9%	54.9%	29.1%
Net income	5.6%	32.7%	65.5%	-15.6%	-60.9%	33.4%	55.0%	29.1%

Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 20: Tokyo Electron: Balance Sheet

JPY bn	FY23/3	FY24/3	FY25/3	FY26/3E	FY27/3E	FY28/3E	FY29/3E
Cash and cash equivalents	472.5	461.6	485.1	505.4	-66.3	72.7	118.9
Accounts receivable	464.9	391.4	485.6	525.9	643.5	729.2	902.7
Inventories	652.2	763.0	749.1	713.1	1,394.3	1,443.8	1,695.6
Other current assets	151.4	84.5	80.9	91.0	99.0	99.0	99.0
Total current assets	1,741.0	1,700.5	1,800.8	1,835.5	2,070.6	2,344.6	2,816.3
Property, plant and equipment, net	259.1	337.4	441.7	589.3	685.4	907.2	1,126.8
Other non-current assets	311.5	418.6	383.5	436.2	542.0	542.0	542.0
Total assets	2,311.6	2,456.5	2,626.0	2,861.0	3,298.0	3,793.8	4,485.1
Accounts payable and accrued expenses	187.5	172.4	217.5	236.8	278.9	330.9	405.5
ST Debt and Lease Obligations	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other current liabilities	442.4	439.5	460.4	442.4	477.1	477.1	477.1
Total current liabilities	629.9	611.9	677.9	679.2	756.0	808.0	882.6
LT Debt and Lease Obligations	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other non-current liabilities	82.2	84.4	92.8	111.8	127.6	127.6	127.6
Total liabilities	712.1	696.3	770.8	791.0	883.6	935.6	1,010.2
Shareholders' equity	1,599.5	1,760.2	1,855.2	2,070.0	2,414.4	2,858.2	3,474.9
Total liabilities & shareholders' equity	2,311.6	2,456.5	2,626.0	2,861.0	3,298.0	3,793.8	4,485.1

Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 21: Tokyo Electron: Cash Flow Statement

JPY bn	FY23/3	FY24/3	FY25/3	FY26/3E	FY27/3E	FY28/3E	FY29/3E
Net Income	471.6	364.0	544.1	574.5	766.1	1,187.7	1,533.4
D&A	38.5	52.3	62.1	81.0	108.2	133.1	164.7
Changes in working capital	-77.6	-85.5	36.2	-45.1	-714.2	-83.1	-350.8
Other adjustments	-10.7	103.9	-60.3	-70.6	79.6	0.0	0.0
Cash flow from operations	421.9	434.7	582.2	539.7	239.7	1,237.7	1,347.4
Capex	-76.8	-135.1	-177.6	-209.0	-195.0	-354.9	-384.4
Other	35.0	10.0	8.0	112.5	-4.2	0.0	0.0
Cash flow from investments	-41.8	-125.1	-169.6	-96.5	-199.2	-354.9	-384.4
Cash flow from financing	-256.5	-325.0	-388.8	-311.7	-508.8	-743.9	-916.7
Net effect of exchange rate changes	13.3	4.6	-0.3	2.5	1.3	0.0	0.0
Net change in cash	136.8	-10.9	23.5	134.0	-467.1	139.0	46.2

Source: Company disclosures, Bernstein estimates and analysis.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	30 Jul 2026	Price	TTM	Reported EPS				Reported P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
8035.JP (Tokyo Electron)	O	JPY	52,240	79,300	54.2%	JPY	1,250.88	1,687.17	2,635.81	41.8	31.0	19.8
OLD				59,200				1,504.14	1,848.77			
JPL			2,570.52									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

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VALUATION METHODOLOGY**Tokyo Electron Ltd**

We set a ¥79,300 price target using a P/E multiple of 28x against our forward Q5-Q8 EPS estimate.

RISKS**Tokyo Electron Ltd**

There are a number of downside risks to our TEL target price: (1) Changes in US trade restriction which are unfavorable to China's and global semiconductor capex (2) Slowdown in global semiconductor demand including both logic and memory, which trigger reduced or increased capex and capacity expansion (3) Unfavorable exchange rate fluctuation posing a downside risk to overall Japan market

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

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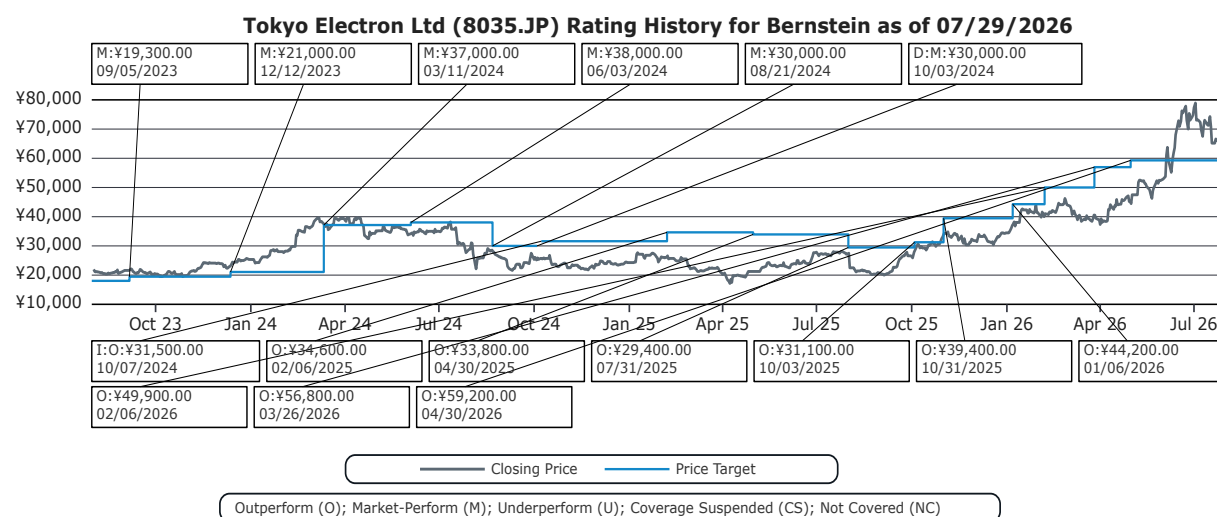
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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